

Profit Niti AI CFO Report

1. Big Picture — How the Business Looks Right Now

The business is in a critical financial state, operating at a significant loss with a negative net worth. Over the last four months, sales have been volatile, peaking in March 2025 at ₹1,535 million before dropping sharply. The core issue is a gross margin that has been deeply negative every month, meaning the cost of goods sold is far exceeding revenue. While the company has managed to reduce its long-term debt and maintain a stable cash balance, it is currently burning cash from operations, indicating a fundamental problem with its business model or pricing.

GREEN FLAG BOX — What's Working Well

- **Debt Reduction:** Successfully reduced secured long-term borrowings by over ₹117 million (from ₹383M to ₹266M) in four months, improving the balance sheet.
- **Cash Preservation:** Maintained a stable cash and bank balance of around ₹217-223 million, providing a crucial liquidity buffer.
- **Operational Efficiency (Overheads):** Kept selling and administrative expenses relatively low and under control, with overheads averaging around 2% of revenue.

RED FLAG BOX — What Needs Attention

- **Severe Profitability Crisis:** The company is losing money on every sale, with gross margins ranging from -32% to -88%. Net losses have accumulated to over ₹2.6 billion year-to-date.
- **Negative Equity (Insolvency Risk):** Total shareholder equity is deeply negative (-₹408 million), meaning liabilities far exceed assets, which is a major solvency red flag.
- **Cash Burn from Operations:** Core business operations are consuming cash, with operating cash flow deeply negative in three of the last four months, unsustainable without external funding.

CFO Advice:

Immediate survival depends on fixing the gross margin. You must conduct a urgent review of product pricing and supplier costs to stop selling at a loss. Concurrently, explore all avenues to raise equity capital to shore up the negative net worth and provide runway for a turnaround.